



5th Pillar
Family Takaful Limited
آئیے، ساتھ چلیں



FUND MANAGER REPORT

JULY | 2024

5th Pillar Family Takaful Limited - Conservative Fund

For the month of July- 2024

Investment Objective:

The main objective of fund is to provide the stability in returns with capital preservation by investing in low risk shariah compliant fixed income instruments with strong credit rating of "AA" and above.

Fund Information

Fund Category	Money Market
Risk Profile	Low
Launch Date	18-Jul-23
Nav per unit at launch Date	100.0000
Nav per unit at month End (July-2024)	118.5685
Pricing Mechanism	Daily Forward pricing
Pricing Frequency	Monday to Friday
Total Net Assets (Rs.)	92.7 M
Weighted Avg.time to Maturity	0.7 Year
Expense Ratio	0.28%
Management Fee	1.75% p.a.
Benchmark	60% weightage of Meezan Cash Fund & 40% average of 6M deposit rate of 3 AA-rated of Islamic banks or Islamic windnws of Conventional banks

Asset Allocation	Jul-24	Jun-24
GOP Ijarah Sukuks	77.28%	57.70%
Mutual Funds	4.35%	26.80%
Bank	11.98%	11.40%
Others	6.39%	4.10%

Fund Returns	Jul-24	Jun-24
Return on (MoM) basis	21.13%	21.60%
180 days return	19.67%	19.09%
Last 365 days return	18.51%	17.53%
Return since inception (annualized)	17.82%	17.82%
Last 05 years (annualized)	N/A	N/A
Last 10 years (annualized)	N/A	N/A

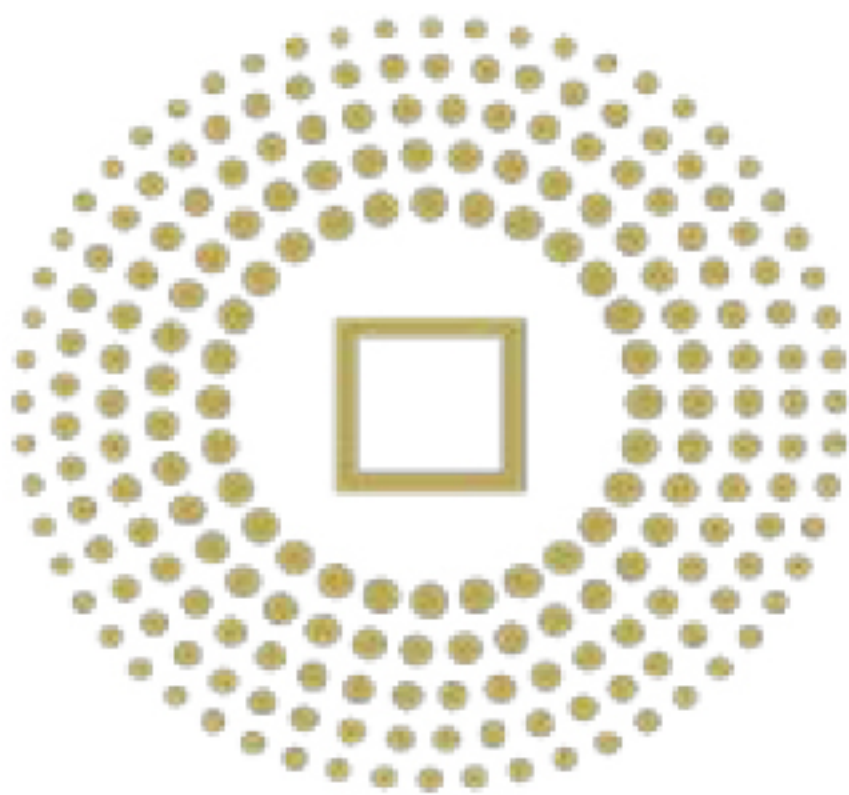
Fund Manager's comments

The equity market remained volatile during Jul-24, whereby the KSE-100 and KMI-30 indices initially surged to all-time high levels of 81,840pts and 130,381 pts, marking increases of 4.3% and 3.1%, respectively, from their Jun-24’s closing levels. This bullish trend was largely driven by Pakistan reaching a staff-level agreement with the IMF for a new 37-month Extended Fund Facility amounting to USD 7bn. However, increased political noise later in the month wiped away the gains, with the KSE-100 and KMI-30 indices closing at 77,887pts (down 0.7% MoM) and 122,928pts (down 2.8% MoM), respectively.

On the economic front, CPI for Jul-24 fell to a 33-month low of 11.1% YoY, compared to 12.6% YoY in Jun-24. This decrease was largely due to the favorable base effect from soaring inflation last year. On a MoM basis, CPI increased by 2.1%, primarily on the back of 4.7% increase in the prices of Food & Non-Alcoholic Beverages. The declining trend of inflation led to market expectations of another rate cut, and, unsurprisingly, the Monetary Policy Committee (MPC) in its meeting held on 29-Jul-24, reduced the Policy Rate by 100bps to 19.5%.

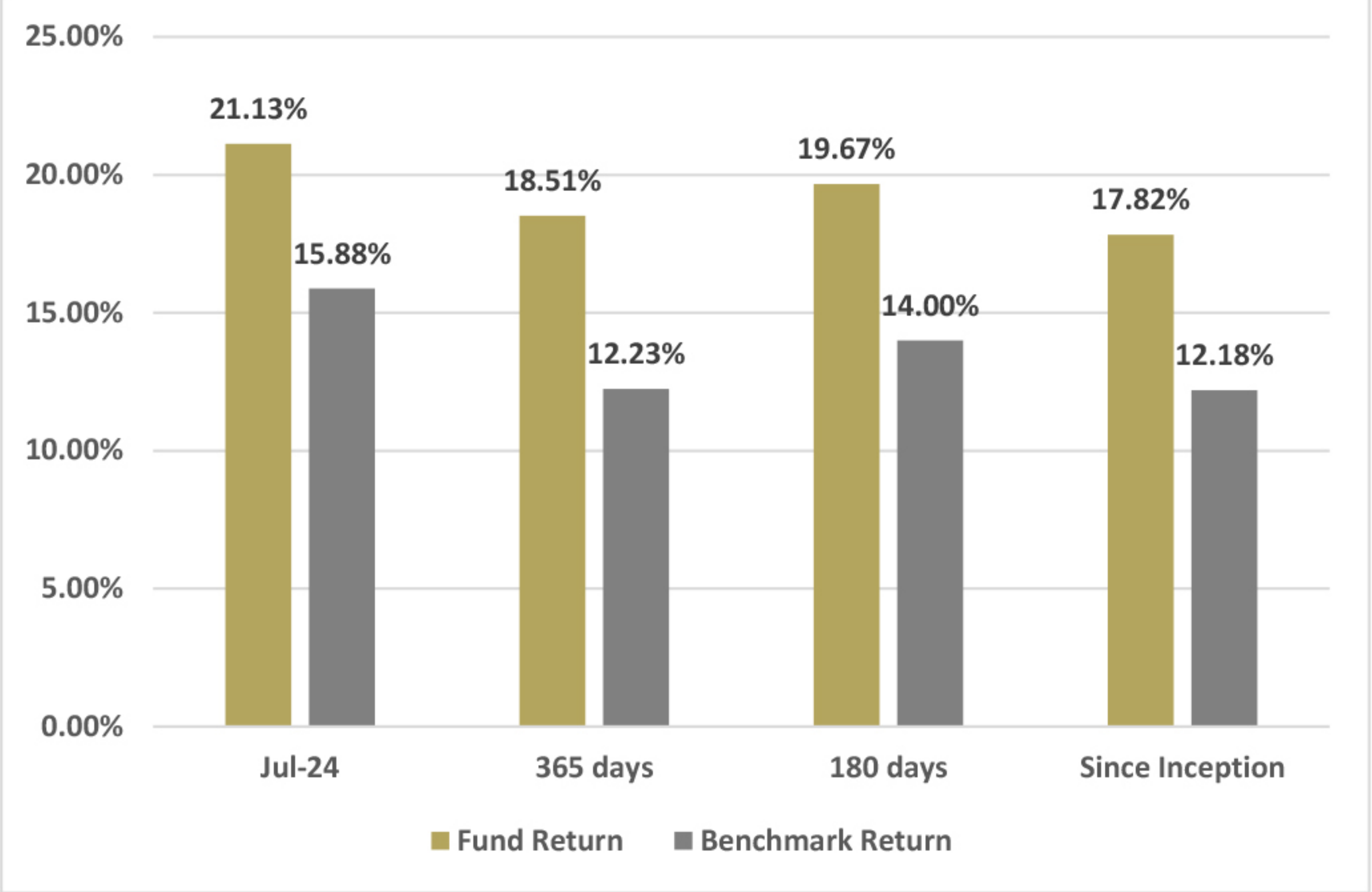
The Current Account deficit (CAD) during Jun-24 clocked in at USD 329mn, taking total CAD for FY24 to USD 681mn, compared to USD 3.3bn in FY23. This marks the lowest deficit in the last 13 years, whereby the decline was primarily driven by reduction in trade deficit (down 5.7% YoY) and increase in remittances (up 10.7% YoY).

Going forward, investors are likely to focus on the approval of the new IMF program by the Executive Board, along with the negotiations with China for debt relief. Furthermore, the ongoing result season is expected to keep certain stocks in limelight. Moreover, with inflation on a downward trajectory, we believe that monetary easing will continue throughout the remainder of the year. Resultantly, domestic institutional investors are likely to shift their investments from fixed income towards equities, potentially leading to a sustained rally in the market.



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Fund's Performance



Asset Allocation

